

THE INCUMBENT ADVANTAGE

AI can make scarce business
assets more productive

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Abundant intelligence can make scarce assets more valuable

The model is available to many firms.

The clinical history, customer relationship and installed network may take decades to build.

The investment question is who converts those assets into retained cash earnings.

Four paths to better economics

Each path starts with an existing asset and ends with a testable operating result.

Better decisions

More profitable transactions and underwriting at the same risk

Scientific throughput

More clinically useful output per research euro

Work inside the workflow

More completed tasks from trusted content and systems of record

Physical productivity

Higher useful output from existing equipment and networks

Productivity depends on the task

Evidence supports careful measurement. It does not support a universal uplift.

Setting	Observed result	Investment implication
Customer support 5,172 agents	15% more issues resolved per hour	Some workflows can produce more useful output
Experienced developers Early-2025 tools	19% longer task completion time	Review and context costs can offset assistance
METR 2026 follow-up	Selection bias obscures the current effect	Historical results need retesting with current tools

Different tasks and metrics. Neither result establishes a company-wide profit gain.

Pharma: better choices before expensive clinical failures

Sanofi, Roche and AstraZeneca are research candidates for a more productive R&D engine.

Scarce asset

Experimental history plus the ability to run new science

AI mechanism

Better selection, earlier rejection and sharper patient stratification

Proof that matters

Stage-adjusted clinical success and R&D output after full cost

Clinical validation remains the bottleneck. More candidates alone are weak evidence.

Trusted content can support more valuable professional work

The opportunity is paid task completion inside established customer workflows.

Candidate	Potential advantage	Decisive test
RELX	Enriched content and citation-aware workflows	Revenue per customer after seat substitution
Thomson Reuters	Legal and tax content inside CoCounsel	Paid renewals and net contribution
Wolters Kluwer	Domain knowledge inside expert workflows	Completed work at equal accuracy

Data access does not automatically confer cross-customer training rights.

Physical assets create a second route to productivity

Existing deployment channels connect better software to real operating work.

Siemens

Controls and engineering workflows can distribute AI across a plant.

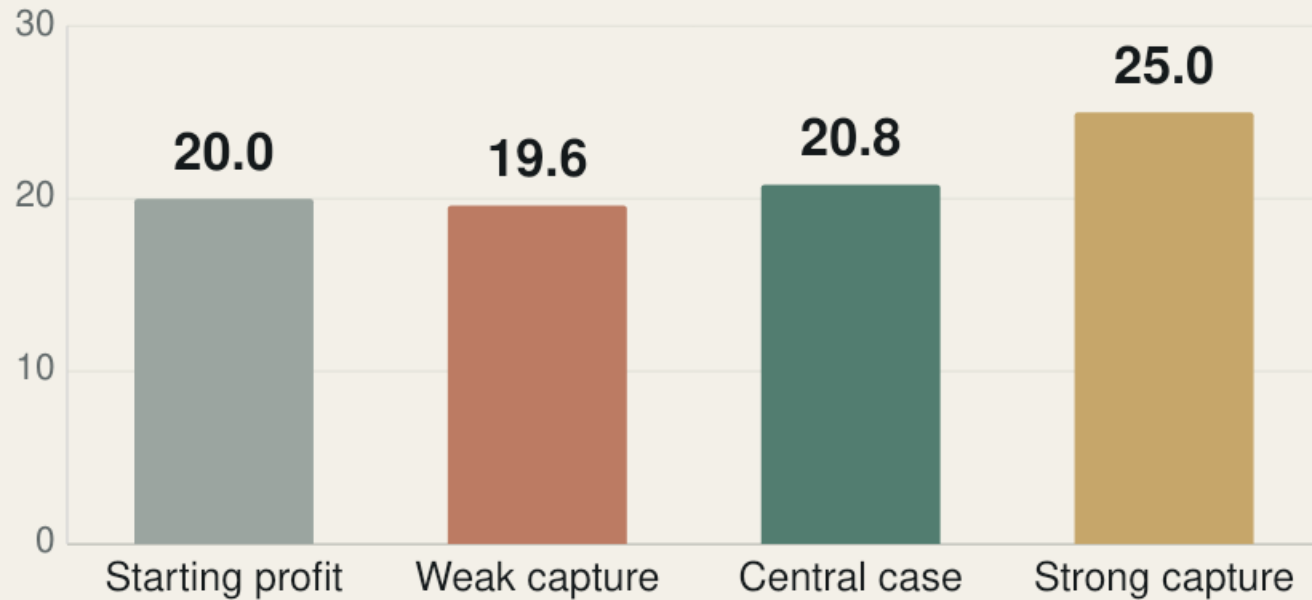
Amazon

Fulfillment networks generate operating feedback at scale.

The proof is useful output after integration, capital expenditure and human oversight.

Task savings can shrink before they reach shareholders

Illustrative operating profit, starting at 20 monetary units. These are assumptions, not forecasts.



Central illustration

15% task efficiency
60% realization
50% retained share

**4% profit increase
after recurring AI cost**

Assumptions: revenue 100, eligible cost 40, recurring AI expense 1.

The contract determines who keeps the gain

A stronger operating result becomes an investment advantage only when value stays with the business.

Business model	Potential retention	Main leakage
Professional software	Paid workflows and renewal	Seat loss and model costs
Insurance	Risk selection and lower expenses	Renewal pricing and reserves
Industrial services	Availability and service contracts	Customer-owned data and capex
Regulated utilities	Incentive sharing where allowed	Rate resets and required investment
Hourly IT services	More projects or outcome pricing	Fewer billable hours

A global universe built from explicit industry theses

100

company candidates

36

research areas

11

broad sectors

14 names have direct company-source coverage.
86 begin as structural hypotheses. All valuations remain open.

The first 18 diligence targets

A research queue chosen to test different mechanisms. No current buy ratings or weights.

Mechanism	Candidates
Trusted workflows	RELX, Wolters Kluwer, Thomson Reuters, Experian, Intuit, SAP
Risk decisions	Munich Re, Chubb, Visa, JPMorgan Chase
Physical operations	Siemens, Schneider Electric, Linde, Deere, Amazon
Scientific output	Sanofi, Roche, AstraZeneca

The valuation question is what the price already requires

The desired opportunity is a strong existing business with underappreciated incremental productivity.

Conventional business

Cash earnings and downside with no incremental AI benefit

Incremental productivity

Adoption, quality, retained economics and capital cost

Market expectations

The growth and margins implied by the current share price

A low multiple is a question to investigate. It is not evidence that AI upside is free.

The strongest bear case is cheaper competition

**Agents bypass the
interface**

The incumbent becomes a low-price data or execution layer.

Data loses exclusivity

Portable or synthetic substitutes narrow the information gap.

**Productivity passes
through**

Customers, employees or suppliers retain the benefit.

A framework that calls every incumbent an AI winner has failed.

Conviction follows operating proof

The thesis can be ambitious while the investment standard remains strict.

Gate	Evidence that advances the candidate
Business quality	Durable economics, financial resilience and usable assets
Operating advantage	Material deployment and a defensible comparison
Economic capture	Incremental cash earnings after all relevant costs
Valuation and portfolio	Adequate expected return with downside and overlap reviewed

The next decision: which companies pass these gates at an attractive price?

AI productivity is an ownership question

Who owns the scarce asset?

Who can make it more productive?

Who keeps the economic gain?

The research begins with 100 candidates.
The portfolio will depend on the answers.

Evidence and research access

Source links and qualifications accompany the relevant slides in speaker notes.

Research

Brynjolfsson, Li and Raymond: Generative AI at Work
METR: 2025 randomized trial and February 2026 update

Company evidence

Sanofi, RELX, Thomson Reuters, Wolters Kluwer,
Intuit, SAP, JPMorganChase, Visa, Siemens and Amazon

Full repository

github.com/Darainer/Al-incumbent-Portfolio

Version 0.1 · 11 September 2026 · Provisional research universe